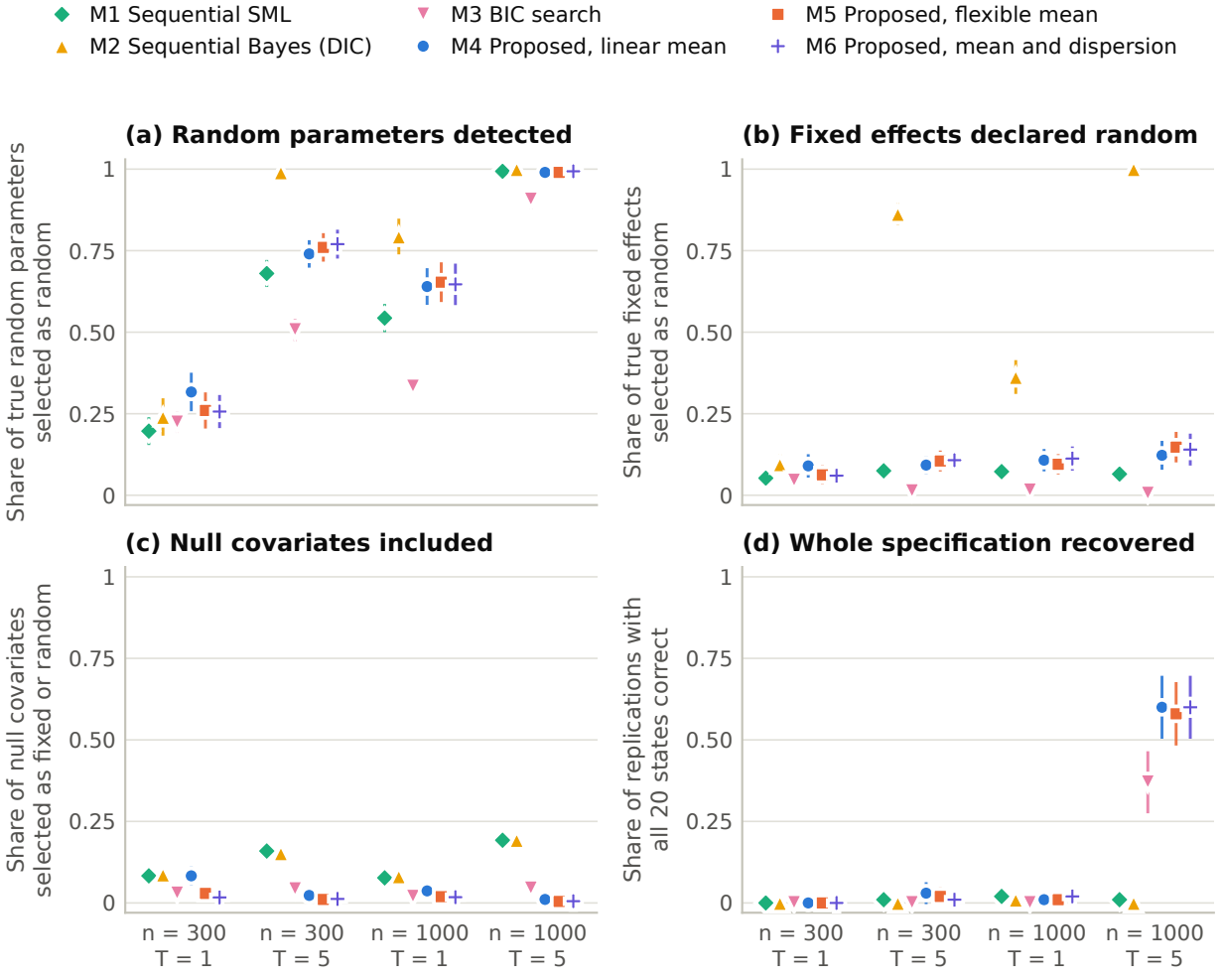
M1 Sequential SML
M2 Sequential Bayes (DIC)
M3 BIC search
M4 Proposed, linear mean
M5 Proposed, flexible mean
M6 Proposed, mean and dispersion
(a) Random parameters detected
Share of true random parameters selected as random
(b) Fixed effects declared random
Share of true fixed effects selected as random
(c) Null covariates included
Share of null covariates selected as fixed or random
(d) Whole specification recovered
Share of replications with all 20 states correct
0
0.25
0.50
0.75
1
n = 300 T = 1
n = 300 T = 5
n = 1000 T = 1
n = 1000 T = 5